

Founders' Agreement

FROM

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DATE

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Draft template - subject to lawyer review before signing.

SARAWAK MEDCHAIN

Sarawak's Sovereign Health Record System

CONFIDENTIAL · DRAFT

■ IMPORTANT NOTICE - READ BEFORE USING

This is a **TEMPLATE** prepared for negotiation between founders. It is **NOT** a substitute for legal advice.

Before either party signs this document:

- Both parties must engage a Malaysian-qualified lawyer to review and adapt this document
- Typical cost: RM 200-800 for a founders' agreement review by a lawyer in Kuching or KL
- This template covers common provisions but may not cover your specific needs
- Under Malaysian law, some provisions may require adaptation to be fully enforceable

Nothing in this document is legal advice. Consult a lawyer.

FOUNDERS' AGREEMENT

This Agreement is made on the ____ day of _____ 2026

Between:

1. RANDY RICHARD (IC No: _____)
of [Full Address, Miri, Sarawak]
(the "Founding Party" and "Chief Executive Officer")

And:

2. [FRIEND'S FULL NAME] (IC No: _____)
of [Full Address]
(the "Joining Party" and "Head of Marketing & Growth")

(each a "Party" and together the "Parties")

SECTION 1

INTERPRETATION

1.1 Definitions

- **"Company"** means Medchain Enterprise (SSM Registration No. _____), currently registered as a sole proprietorship, which the Parties intend to convert to a Sendirian Berhad (Sdn Bhd) private limited company as further described in Section 3.
- **"Product"** means the Sarawak MedChain blockchain-based medical certificate platform, including all software, documentation, brand assets, customer relationships, and know-how associated with it (Schedule A).
- **"Trading Name"** means "Sarawak MedChain".
- **"Effective Date"** means the date this Agreement is signed by both Parties.
- **"Sdn Bhd"** means the private limited company to be incorporated per Section 3.
- **"Vesting Commencement Date"** means the Effective Date of this Agreement.

1.2 Purpose

The Parties agree to jointly develop, promote, and commercialise the Product, initially under the existing Enterprise entity and subsequently under a Sdn Bhd entity to be incorporated per Section 3.

SECTION 2

ROLES AND RESPONSIBILITIES

2.1 Randy Richard (Chief Executive Officer)

- Product design, development, and deployment
- Technical roadmap and engineering decisions
- Legal, finance, and regulatory compliance
- Sdn Bhd incorporation, share issuance, and governance
- Final decision authority on customer contracts and product direction

2.2 [Friend's Name] (Head of Marketing & Growth)

- Sales outreach to clinics, hospitals, and government contacts
- Leading pilot pitches and customer conversations
- Marketing content across LinkedIn, TikTok, and other channels
- Brand development and public communications
- Grant application support (Cradle, TEGAS, SDEC, etc.)

2.3 Shared decisions

The following decisions require agreement of both Parties:

- Pricing changes
- Prospect prioritisation
- Hiring or engaging any staff or contractor
- Any change to this Agreement
- Public announcements regarding funding, partnerships, or exits

2.4 Minimum time commitment

The Joining Party commits to a minimum of **[X] hours per week** dedicated to the Company. Select tier from Partnership Proposal: A = 40+ / B = 15-25 / C = under 15.

SECTION 3

ENTITY, EQUITY & VESTING

3.1 Current entity status

The Parties acknowledge that the Company is presently registered as an Enterprise (sole proprietorship). Sole proprietorships under Malaysian law do not issue equity shares.

3.2 Commitment to Sdn Bhd conversion

The Founding Party commits to incorporating a private limited company (Sdn Bhd) under the Companies Act 2016 within **eighteen (18) months** of the Effective Date, or within thirty (30) days of the first signed paid customer contract, whichever is earlier.

3.3 Equity allocation upon Sdn Bhd incorporation

- **Randy Richard:** []% (default: 90% Tier A / 94% Tier B / 97% Tier C)
- **[Friend's Name]:** []% (default: 10% Tier A / 6% Tier B / 3% Tier C)

The Joining Party's shares shall be subject to the vesting schedule in Section 3.4.

3.4 Vesting schedule (Joining Party)

The Joining Party's equity vests on the following schedule from the Vesting Commencement Date:

- **First 12 months (the "Cliff"):** ZERO shares vested. If the Joining Party ceases involvement for any reason prior to the 12-month anniversary, they receive no equity.
- **12-month anniversary:** 25% of allocated equity vests immediately.
- **Months 13-48:** the remaining 75% vests monthly (~2.08% per month) over 36 months.
- **48-month anniversary:** 100% vested.

For Tier C (Sweat Equity Advisor), vesting shall be 2 years total with a 6-month cliff.

3.5 Milestone-based equity bonuses (Tiers B & C only)

- **Tier B:** Additional 2% granted upon Company reaching 3 paying customers.
- **Tier C:** 1% additional per paying customer personally closed by Joining Party, up to a maximum of 3%.

3.6 Acceleration on change of control

If the Company is acquired or merges with another entity ("Change of Control"), 50% of the Joining Party's then-unvested equity shall accelerate and vest immediately.

3.7 Interim equivalent (before Sdn Bhd)

Between the Effective Date and the date of Sdn Bhd incorporation, the Joining Party has no legal shareholding but has an enforceable contractual right to the share allocation defined in Sections 3.3 and 3.4 upon incorporation.

SECTION 4

INTELLECTUAL PROPERTY

4.1 IP assignment to the Company

Any and all intellectual property created by either Party in connection with the Company or the Product - including but not limited to source code, brand assets, marketing content, customer lists, pitch decks, technical documentation, and business plans - shall be the exclusive property of the Company.

4.2 Waiver of moral rights

Each Party waives any moral rights they may have in any IP created for the Company, to the extent permitted by Malaysian law.

4.3 Pre-existing IP

- The Founding Party retains ownership of the Sarawak MedChain source code and Product as developed prior to the Effective Date, and hereby grants an exclusive perpetual licence of the same to the Company (and its Sdn Bhd successor).
- Neither Party contributes third-party IP without written consent of the other.

SECTION 5

CONFIDENTIALITY

5.1 Confidential Information

Each Party shall keep confidential all non-public information relating to the Company, including but not limited to technical designs, customer information, financial information, business strategies, and pricing.

5.2 Duration

The confidentiality obligation survives the termination of this Agreement indefinitely.

5.3 Exclusions

Standard exclusions apply for information that is: (a) publicly known through no fault of the receiving Party; (b) independently developed; (c) required to be disclosed by law.

SECTION 6

NON-COMPETE

6.1 During the term

Neither Party shall directly or indirectly engage in, own, or be employed by any business that competes with the Company anywhere in Malaysia during the term of this Agreement.

6.2 Post-departure (Joining Party only)

For a period of twelve (12) months after the Joining Party ceases involvement with the Company, the Joining Party shall not:

- Engage in any blockchain-based medical certificate or e-MC business in Malaysia
- Solicit any Company customer, prospect, or employee
- Use any Company Confidential Information for a competing purpose

This restriction is limited to Malaysia. Activities outside Malaysia are unrestricted.

SECTION 7

TERMINATION

7.1 Voluntary departure

Either Party may terminate their involvement with 30 days' written notice. The Joining Party's vested equity as of the departure date remains theirs, subject to Section 7.4.

7.2 Termination for cause

- Material breach of this Agreement not cured within 14 days of written notice
- Fraud, dishonesty, or gross misconduct
- Conviction of a criminal offence involving moral turpitude
- Unauthorised disclosure of Confidential Information

In case of termination for cause of the Joining Party, all unvested equity is forfeited and vested equity is subject to Company buy-back at fair market value.

7.3 Termination if Sdn Bhd not incorporated

If Sdn Bhd is not incorporated within eighteen (18) months of the Effective Date, either Party may terminate this Agreement with 30 days' notice, with no penalty and no ongoing obligations except confidentiality and non-compete.

7.4 Company buy-back right

- **Fair market value** if departure is voluntary or without cause
- **Original allocation cost (par value)** if departure is for cause per Section 7.2

Fair market value shall be determined by mutual agreement or, failing agreement within 30 days, by an independent valuer appointed by both Parties.

SECTION 8

DISPUTE RESOLUTION

8.1 Founder discussion

The Parties agree to first attempt to resolve any dispute through direct, honest discussion over a minimum period of 3 days.

8.2 Mediation

If direct discussion fails, the Parties agree to mediation before a mutually agreed mediator prior to any legal action.

8.3 Governing law and jurisdiction

This Agreement is governed by the laws of Malaysia. Any dispute that cannot be resolved by mediation shall be subject to the exclusive jurisdiction of the courts of Kuching, Sarawak.

SECTION 9

GENERAL PROVISIONS

- **9.1 Entire agreement.** This Agreement constitutes the entire agreement between the Parties.
- **9.2 Amendment.** Any amendment must be in writing and signed by both Parties.
- **9.3 Severability.** If any provision is held to be invalid, the remainder continues in force.
- **9.4 Waiver.** Failure to enforce any provision shall not constitute a waiver.
- **9.5 Notices.** All formal notices shall be sent by e-mail with a physical copy sent by post to the addresses stated at the top.

SIGNATURES

Randy Richard

Signature: _____ Date: _____

IC No: _____ Email: randyrjm99@gmail.com

[Friend's Full Name]

Signature: _____ Date: _____

IC No: _____ Email: _____

Witness 1 (independent adult, not related to either Party)

Name: _____ Signature: _____ Date: _____

Witness 2 (independent adult, not related to either Party)

Name: _____ Signature: _____ Date: _____

SCHEDULE A

DESCRIPTION OF THE PRODUCT

Sarawak MedChain, comprising:

- Frontend React/Vite web application, deployed at sarawak-medchain.pages.dev via Cloudflare Pages
- Backend Node.js/Express server (production deployment pending)
- Ethereum-compatible smart contract for cryptographic hash storage
- IPFS integration for encrypted document storage
- Public verification endpoints
- All associated brand assets, documentation, and marketing materials
- Public GitHub repository at github.com/randyrichard/Sarawak-Medchain

SCHEDULE B

TIME COMMITMENT TIER (SELECT ONE)

- ☐ **Tier A** - Full-Time Partner (minimum 40 hours per week, no other employment). Equity: 10%.
- ☐ **Tier B** - Part-Time Partner (minimum 15 hours per week). Equity: 6% + 2% milestone bonus.
- ☐ **Tier C** - Sweat Equity Advisor (under 15 hours per week). Equity: 3% + 1% per closed customer.

End of Agreement. Do not sign until reviewed by a lawyer.

Template prepared 30 June 2026 by Randy Richard for negotiation with [Friend's Name]. Any legal review by a Malaysian-qualified solicitor is strongly recommended before execution.